

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$3.92 ▲ 1.03%	12M Price Target \$4.50	52-Week Range \$3.01 – \$9.39	Market Cap \$1.88B
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BBAI: Reiterate Hold — Rich Valuation Offsets Federal AI Momentum

WHAT'S CHANGED

- Zacks coverage (06/19) flags rising SG&A as the key tension point against BBAI's AI innovation cadence; reinforces near-term margin concerns despite management's confident 2026 outlook reiterated 06/12.
- Stock down ~3.5% over last three sessions (\$4.05 → \$3.88) on elevated volume (23–34M shares vs typical), pushing BBAI to just 14% of 52-week range while options flow turned sharply bullish (P/C 0.17, unusual \$4 July calls at 5.1x OI).

IMPLICATIONS

The Zacks valuation piece ("Rich, but Is the AI Opportunity Richer?") confirms the Street's central debate on BBAI: federal/defense AI TAM is real, but the stock already discounts substantial execution. With shares hovering near 52-week lows on heavy volume yet call buyers aggressively positioning into July expiry, the setup suggests a binary near-term — likely tied to contract announcements or DoD budget visibility. CFO Ricker's small May sale (\$43K) is immaterial but reinforces a neutral insider tone, leaving institutional flow (BlackRock 7.5%, Vanguard 4.0%) as the anchor.

VALUATION

At \$1.88B market cap on ~\$195M FY26E revenue, BBAI trades at ~9.6x EV/Sales — a premium to defense IT peers (Palantir ex., CACI/Leidos ~1.5-2x) but a discount to pure-play AI comps (SOUN, PLTR). Our \$4.50 PT applies ~9x EV/FY27E revenue, implying ~15% upside; multiple expansion to 12x requires a step-function in federal bookings or EBITDA breakeven visibility. Downside to \$2.50 emerges if SG&A growth outpaces revenue and gross margins compress below 25%.

KEY RISKS

- Federal contract concentration risk — loss or delay of DoD/IC programs would impair the FY27 ramp materially.
- SG&A expansion outpacing revenue, deferring path to EBITDA breakeven and forcing dilutive capital raises.
- Multiple compression as AI hype cycle matures; peer rerating (SOUN, PLTR) would drag BBAI lower regardless of fundamentals.

RECENT NEWS

- Can BigBear.ai Balance Rapid AI Innovation With Rising SG&A Expenses?** Zacks · 2026-06-19 14:23
- SoundHound's Drive-Thru AI Shows ROI: Can Restaurant Rollouts Scale?** Zacks · 2026-06-18 14:28
- BigBear.ai's Valuation Is Rich, but Is the AI Opportunity Richer?** Zacks · 2026-06-18 13:57

Key Data

Price (USD)	\$3.92
12M Price Target	\$4.50
Upside / (Downside)	+14.8%
Market Cap	\$1.88B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$4.80	\$4.10	\$3.40
6 Months	\$5.75	\$4.50	\$3.00
1 Year	\$7.00	\$4.50	\$2.50
2 Years	\$9.50	\$5.50	\$2.00
5 Years	\$15.00	\$7.00	\$1.50
10 Years	\$25.00	\$10.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Defense Tech, AI Infrastructure

COLD SECTORS: Consumer Discretionary, Traditional Software

ROTATION WATCH: Rising geopolitical tension and FY27 DoD budget visibility favor rotation into defense-AI hybrids (BBAI, PLTR, KTOS); watch for pullback in mega-cap AI infra (NVDA derivatives) to fund the move.

BYPRODUCT PLAY: Federal AI adoption tailwinds spill into adjacent cyber-AI (S, CRWD) and identity/biometric (CLAR) names; BBAI's Pangiam acquisition positions it at this intersection.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Trading at ~50x EV/Sales on accelerating commercial AIP traction — the benchmark that BBAI bulls cite for multiple expansion potential.
- SOUN (SoundHound AI): Drive-thru AI ROI narrative (per 06/18 Zacks coverage) drove premium valuation; demonstrates how vertical wins re-rate AI small-caps.

BBAI CONTEXT: BBAI is lagging the AI peer cohort, sitting at 14% of 52-week range while PLTR/SOUN trade nearer highs. Relative weakness signals the market wants either a contract catalyst or margin proof-point before paying up; bullish options flow suggests positioning for that catalyst.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio

Entry Points: \$3.00-3.40 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Federal contract loss, revenue miss >10%, or gross margin compression below 25%

Hedging: Pair long BBAI vs short SOUN on relative valuation convergence